



ESG in the Financial Services Industry

Rutgers Consulting Group
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2. Executive Summary

From ESG Reporting to ESG Performance

ESG has traditionally been understood as a framework for assessing corporate responsibility and risk, largely driven by disclosure, ratings, and compliance-focused reporting. It is now at an inflection point as stakeholders grow skeptical of box-checking and demand measurable, performance-based outcomes, increasing scrutiny on credibility and long-term viability.



The Limitations of the ESG Reporting Era

ESG reporting grew out of global frameworks like GRI, SASB, TCFD, and ISSB and expanded through ratings systems that improved transparency. However, it increasingly prioritized disclosure over outcomes, producing inconsistent metrics and encouraging narrative-driven rather than operational change. As trust erodes and ESG fatigue rises, stakeholders are less able to distinguish genuine performance from strong reporting.



The ESG Performance Gap

The ESG performance gap refers to the disconnect between corporate ESG commitments and actual operational impact. It is driven by weak integration into core business processes and a focus on easily measured metrics rather than material outcomes. Internally, this results in ESG goals that fail to influence decisions in areas like product design and limited accountability at the business-unit level.



Operationalizing ESG

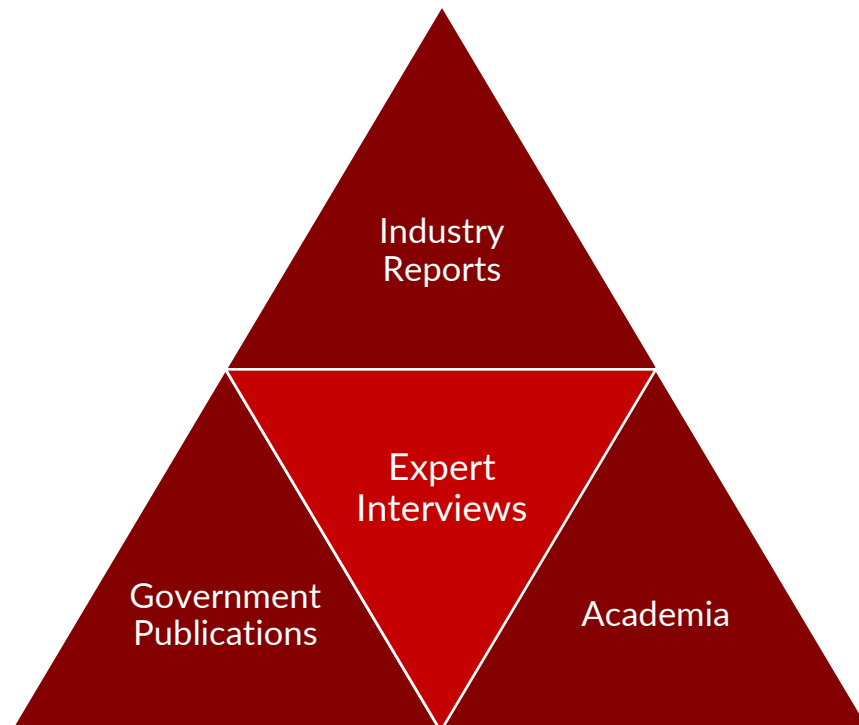
Operationalizing ESG means embedding it into core business processes like planning, budgeting, sourcing, and risk management, rather than treating it as a standalone reporting function. It requires clear governance, executive accountability, and the use of ESG data for real decision-making. Leading firms have shown the importance of operationalization for future decisions.

3. Methodology

To understand the meaning of ESG, its development, impact, and use in the financial services industry, the RCG team conducted extensive secondary research through academic journals, published white papers from consulting firms, and government databases. In total, the team has read and analyzed over 70+ secondary sources to learn about this topic. The information collected has contributed to defining ESG, identifying its evolution, analyzing its gaps/shortcomings, and creating solutions on how to operationalize the concept into companies.

In addition to secondary research, the team conducted interviews with a subject matter experts to understand the inner workings of ESG and its risks in capital allocation within finance. Ultimately, his words have reinforced the concept of ESG and shown its impact within the industry.

This integration of both primary and secondary research allowed the team to create a detailed overview of the role of ESG in capital allocation and how it may be operationalized to increase shareholder trust and advance towards a more sustainable market globally.



4. From ESG Reporting to ESG Performance

TLDR: ESG (Environmental, Social, Governance) started as a reporting exercise, where firms disclosed sustainability metrics. However, reporting alone does not guarantee real impact; investors, regulators, and stakeholders want measurable outcomes, not just disclosures.

4.1 Understanding ESG In Financial Services

Looking at ESG in separate categories is not effective since it presents information from one pillar at a time, whether it is only displaying carbon emissions on the environmental side or labor practices on the social side. As shown in Figure 1, ESG should be examined through various connections across risks, institutions, and markets instead. This way, they can understand **how protecting the environment, increasing equity, and ensuring stability affect each other, or how internal issues unique to a specific category can benefit the other.**¹

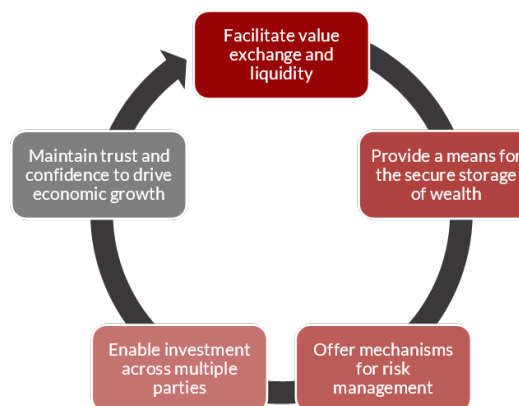


Figure 1: How to Analyze ESG

Although early ESG practices focused primarily on disclosure and external ratings, the increasing integration of sustainability risks into financial decision-making has shifted attention toward how ESG actions influence capital allocation, particularly with the types of channels involved. Banks represent one of the most direct mechanisms through which ESG affects capital allocation, as banks create credit through lending, causing their underwriting decisions to determine which firms and sectors gain access to financing and at what cost.

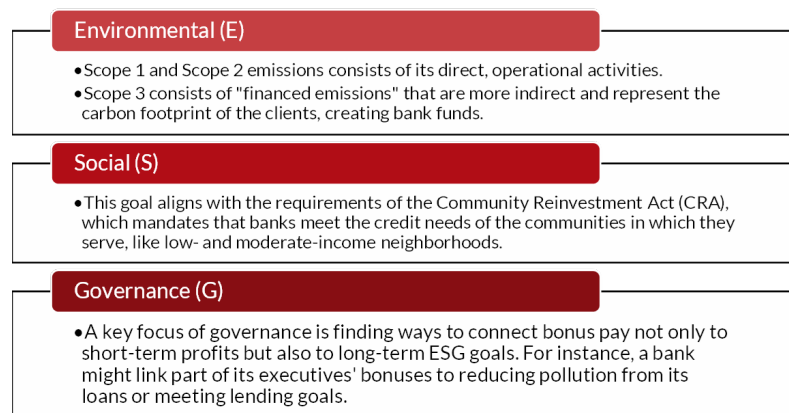


Figure 2: ESG Breakdown Within Banks

Within each category of ESG, the environmental (E) pillar tackles how a bank manages risks and opportunities related to climate change, resource depletion, pollution, and biodiversity. Assessing financed emissions requires methodologies from the Partnership for Carbon Accounting Financials (PCAF)

¹ ESG in Financial Services.

to estimate the greenhouse gas output related to the bank's portfolio, now integrated into credit analysis to calculate the transition risk for borrowers. Transition risk refers to the financial impact because of the transition to a lower-carbon economy, such as new carbon taxes or regulatory changes. Physical risk is another risk, accounting for financial losses from extreme weather events.² Banks need to model the devaluation of collateral in high-risk geographic areas, which can also affect loan-to-value ratios. The Social (S) component is composed of the institution's relationship with its employees, customers, and the communities in which it operates. A main concern for U.S. banks is financial inclusion, which includes expanding access to affordable financial products for underserved populations. Meanwhile, governance (G) refers to the rules and processes that a company uses to run itself. Important aspects include who is on the Board of Directors and how much executives are paid.

In contrast to banks, which influence capital allocation through credit creation, asset managers shape capital flows through portfolio construction and stewardship. Portfolio construction is the process of putting together a variety of assets in a way that meets certain investment goals while keeping risk at a reasonable level. There are six key stages within portfolio construction, where for each stage, there are portfolio construction tools that help investors identify where their risk is coming from and return and optimize their investment selection. When using ESG as a basis in creating portfolios, ESG integrated portfolios may prioritize companies with lower carbon emissions while excluding those that fail to governance screenings. Meanwhile, stewardship is more communication-based, where investors hold discussions with investee companies to talk with them about specific courses of action, though it has more of a supporting role within ESG.



Figure 3: Stages of Portfolio Construction

4.2 What does ESG Performance Mean?

The effectiveness of the channels that influence capital allocation depends on how ESG considerations are incorporated into the internal analytical frameworks. An example of this integration occurs through Risk Appetite Statements (RAS), which define an

² What Is ESG in Banking: Pillars, Reporting, and Legal Risks.

organization's willingness to accept ESG risks in pursuit of strategic objectives.

Approximately one-third of surveyed large banks, have both qualitative and quantitative climate transition risk metrics within RAS; about half of EMEA banks report creating risk limits. These risks must be taken in to consideration for ESG outcomes in banks.



Figure 4: Types of Risk Appetite

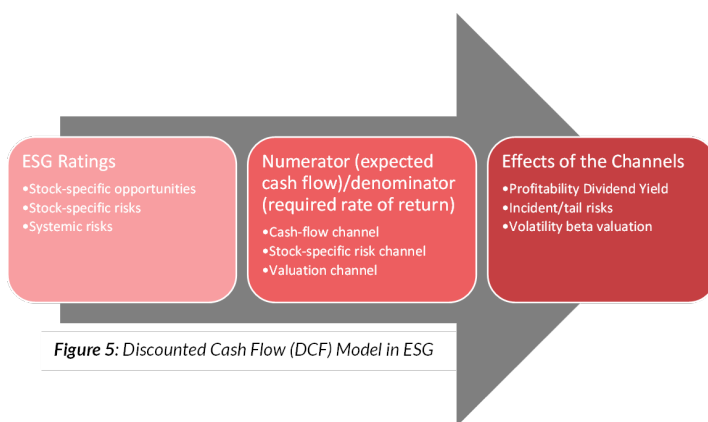


Figure 5: Discounted Cash Flow (DCF) Model in ESG

ESG performance appears within multiple valuation practices used by investors and analysts as well. In both equity and bond valuation, the DCF model is a central framework for identifying how ESG risks can affect firm value. Revenue projections could include potential “green premiums”, raise a firm’s beta, and widen credit spreads. Analysts can adjust the required rate of return to add an environmental risk

premium when firms face significant exposure to climate-related regulation or transition risk.³

Beyond changes in internal analytical processes, ESG performance can be evaluated through measurable portfolio-level outcomes. One increasingly common metric is financing emissions, and tracking it is relevant in the context of international climate goals. Limiting global warming to 1.5 or 2 degrees Celsius requires not only achieving net-zero emissions in the long term but also limiting the total cumulative emissions released over time.⁴ Because of this, climate strategies are designed around a total carbon budget, rather than focusing solely on a distant net-zero target.

Consequently, assessing portfolio-level carbon exposure introduces several speed-related challenges. Different sectors and geographic regions will likely decarbonize at

³ [Linking Climate & ESG to Decision-Making and CPM 2023.](#)

⁴ [Aligning portfolios with climate goals: A new approach for financial institutions.](#)

different speeds depending on technological capabilities, regulatory environments, and economic development levels. Simultaneously, measuring emissions alone can form incentives for financial institutions to simply reduce exposure to high-emitting firms rather than finance the transition of those firms toward lower-carbon operations. Under this framework, institutions would prefer financing smaller emitters over larger industrial firms, even if the latter are actively pursuing decarbonization strategies. Many financial institutions also now establish formal restrictions on financing certain industries considered incompatible with sustainability objectives, such as thermal coal mining, tobacco production, or weapons manufacturing.⁵ Based on the information consulted, ESG performance metrics need to carefully balance the goals of reducing portfolio emissions and enabling capital to flow toward companies undertaking decarbonization efforts.

Lastly, ESG performance touches upon the examination of the alignment between public climate commitments and actual capital allocation decisions. Another metric compares the share of financing directed toward “green” versus “brown” activities. This “green-to-brown” ratio measures the extent to which capital is allocated to sectors such as renewable energy, energy efficiency, and circular economy initiatives relative to high-carbon industries, including fossil fuel extraction or carbon-intensive manufacturing. To operationalize these commitments, financial institutions develop detailed transition plans that translate long-term net-zero goals into interim milestones, structured around interim five-year interim targets for the year 2050.⁶

4.3a Has ESG Changed Capital Allocation?

One of the primary theoretical channels is the cost of capital, where firms with weaker ESG performance often face higher expected stock returns and credit spreads due to risk. Based on the Equity ESG Premia matrix, the model displays that investors request a “risk premium” for companies with poor ESG profiles to compensate for potential regulatory

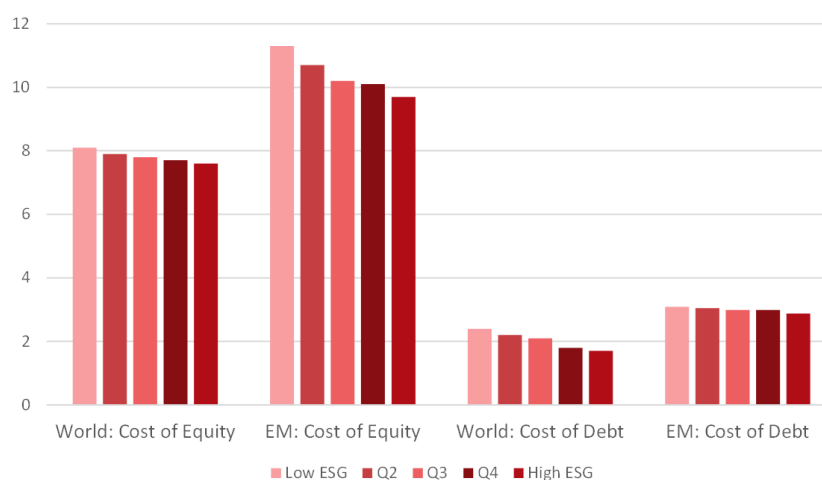


Figure 6: Cost of Debt and Equity in the World and EM

⁵ [Aligning portfolios with climate goals: A new approach for financial institutions.](#)

⁶ [Aligning portfolios with climate goals: A new approach for financial institutions.](#)

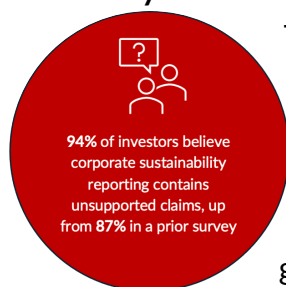
finances, litigation, or reputational damage.⁷ Firms in the lowest ESG deciles with high leverage ratios can face premia as high as 310 basis points, demonstrating an inverse relationship between ESG performance and premia. Through this mechanism, ESG information can influence the relative attractiveness of different investments and slowly shift capital toward firms perceived as more resilient to sustainability-related risks.

4.3b ESG Scores Were Related to Companies' Cost of Capital

A second channel consists of the repricing of transition risk as economies move toward decarbonization. As governments implement climate policies and industries adopt low-carbon technologies, firms with significant exposure to fossil fuels or other carbon-intensive assets may lose value before the end of their productive life. These so-called "stranded assets," such as coal plants, oil reserves, or carbon-intensive industrial infrastructure, can become uneconomic due to regulatory changes, technological innovation, or shifts in consumer demand.⁸ Anticipation of these risks has increasingly been incorporated into financial markets, leading to greater volatility in energy and commodity sectors.

Empirical evidence on ESG's impact on capital allocation stays mixed. Some studies find evidence that climate risks are increasingly priced into equity and bond markets, where higher total carbon emissions earned higher returns, suggesting investors demand compensation for the risk of holding high-carbon assets.⁹ Other studies find that certain fixed-income markets exhibit modest "greenium" effects, where green bonds trade at lower yields,¹⁰ by about 2-5 basis points.¹¹ Institutional investors are gradually reducing portfolio exposure to high-carbon sectors and increasing allocations of ESG-aligned assets. The rapid growth of sustainable finance instruments, including green bonds, suggests ESG's influence on capital markets.

4.4 Why is ESG at an Inflection Point?



Technology has been among the factors attributed to ESG's inflection point: data collection, artificial intelligence, and even satellite imagery allow shareholders to cross-check a company's ESG claims against data, reducing the previous gap. Growing skepticism and scrutiny from investors have also greatly helped transform the ESG environment. This lack of trust in corporate ESG disclosures has been growing over the years with greenwashing. Investor suspicion like this

Figure 7: Investor Skepticism

⁷ Carbon Risk Without a Stable Premium: Nonlinear and State-Dependent Evidence from European ESG Leaders.

⁸ The Impact of ESG Risks on Financial Market Volatility.

⁹ Integrating ESG Risks Into the Corporate Valuation Process.

¹⁰ Do Investors Care About Carbon Risk?

¹¹ BIS Quarterly Review: International Banking and Financial Market Developments.

led to greenhushing, a phenomenon where companies intentionally under-report, hide, or remain silent about their sustainability goals and environmental achievements.

ESG policy in the United States stands extremely divided politically at the federal level, hindering progress. A relevant example is when federal banking regulators, such as the Federal Deposit Insurance Corporation (FDIC) and the Federal Reserve, withdrew a proposed interagency guidance that would've charged large financial institutions with assets over \$100 billion to implement government-prescribed principles of climate-related financial risk management.¹² Many members of Congress found these guidelines to be too heavy on regulatory burdens, ultimately leading to its nullification. Given there haven't been any set regulation standards at the federal level, many states have implemented ESG policies. Minnesota enacted a recent commerce finance and policy bill called Senate File 2744 which applies to banks and credit unions with more than \$1 billion in assets, requiring them to annually submit a climate risk disclosure survey to state regulators.¹³ Additionally, more than a dozen states adopted the Zero-Emission Vehicle (ZEV) policies modeled after California's standards, mandating automakers to increase electric vehicle production and restructure their supply chains to comply with emissions reduction targets. Building upon California, the state can be used as a primary example of how ESG regulation is changing the state level. It emerged as the main motivator for stricter corporate sustainability disclosure in the country. It recently passed the Senate Bill 253 and Senate Bill 261 which have turned ESG reporting mandatory. Bill 253 targets companies with more than \$1 billion in annual revenue that conduct business in California to disclose their greenhouse gas emissions. California regulators even took a further step by mandating that these company disclosures must go through independent third-party assurance. Senate Bill 261, The Greenhouse Gas Climate Related Financial Risk Act requires companies with more than \$500 million in revenue to publish reports that assess what financial risks are caused by climate change and what are possible risk mitigation strategies.¹⁴ Even if companies are headquartered outside of California, they are forced to comply if they operate within the state.

The transition in ESG means disclosures are shifting from corporate narrative storytelling to more detailed reporting of ESG performance metrics, risk, and impacts.

5. The Reporting Era: Institutional Progress and Structural Limits

TLDR: ESG reporting standardized sustainability disclosures and allowed for greater adoption. However, structural limits like ratings divergence, weak integration into decision-making, and short-term incentive structures prevent it from creating meaningful outcomes.

¹² ESG Dive

¹³ Elliot Dave ESG Compliance Guide

¹⁴ Gravity Climate 2025 California Disclosure

5.1a How did ESG become reporting centric?

ESG became reporting centric as disclosure frameworks allowed for a way to make sustainability information standardized across industries and governing bodies.

Evolution of ESG Disclosure Frameworks^{15,16,17,18,19}



Figure 8: Timeline of Key ESG Disclosure Frameworks and Regulatory Developments

¹⁵ Harvard Law School Forum on Corporate Governance, *“The Rise of International ESG Disclosure Standards”*

¹⁶ IFRS Foundation, *“SASB Standards”*

¹⁷ Task Force on Climate-Related Financial Disclosures (TCFD), *“Recommendations of the TCFD”*

¹⁸ European Commission, *“Corporate Sustainability Reporting”*

¹⁹ IFRS Foundation, *“Introduction to the ISSB and IFRS Sustainability Disclosure Standards”*

5.1b Proliferation of ESG ratings and fund labeling

As ESG disclosure frameworks expanded, investors had access to vast amounts of ESG information, though it was difficult to quickly compare across thousands of companies. ESG ratings were posed as the solution to this gap in usability. Ratings providers took ESG inputs such as publicly disclosed data (sustainability reports and annual reports), news, and modeled estimates to translate into outputs that investors could use for analyzing companies and constructing portfolios. Ratings made disclosure usable on a scale which reinforced the reporting-centric nature of ESG.

The proliferation of ratings can also be attributed to the fact that there was not any single agreed-upon method to measure ESG.²⁰ Providers prioritized different factors, weighted indicators differently, made specific adjustments depending on the industry, and differed in how much they relied on data rather than estimates. As a result, firms receive different scores across ratings providers, and the ESG ratings market reflects methodological differences rather than acting as a standardized scoring system. The reporting era was forever changed as companies were pushed to disclose in ways that fit the criteria of raters and investors were pushed to value how standardized output really was.

With ratings becoming more common, ESG fund labelling also grew. Asset managers marketed products using ESG terms to convey the fund's strategic goals and to help differentiate themselves in a saturated market. At their core, fund labels work as a claim to the public and as a result, they attracted scrutiny and created a need for clear naming guidelines. In the U.S., the SEC's Names Rule requires investment companies that suggest a thematic focus in a fund to invest at least 80% of the value of their assets into those investments.²¹ This pushes managers to come up with a definition as to what qualifies as ESG in a portfolio and to record how their fund's holdings match that definition.

Europe also had a similar take on fund labelling through its ESMA guidelines, which set a comprehensive list of criteria for funds using ESG or sustainability-related terms in their names, with one of these criteria being the policy of an 80% investment towards sustainable investment objectives.²¹ Stricter naming standards only increases the need for stronger and consistent classification, and this creates a greater reliance on ESG ratings, well-documented methodologies, and systems for screening. Labeling rules do not just govern fund marketing, but they increase demand for ESG inputs that are comparable such that a label can be justified.

The scale of ESG investing also clarifies why ratings and fund labels grew so dramatically. PwC projects ESG-centered investment to grow from \$18.4 trillion to \$33.9 trillion in

²⁰ [IOSCO, "Environmental, Social, and Governance \(ESG\) Ratings and Data Products Providers: Final Report"](#)

²¹ [U.S. SEC, "SEC Adopts Rule Enhancements to Prevent Misleading or Deceptive Investment Fund Names."](#)

2026.²² As more assets are marketed using ESG terms, managers will need to further utilize tools to categorize companies, portfolios, and ratings frameworks.

5.2 What did reporting accomplish?

A major accomplishment of ESG reporting was that information became much more accessible and consistent across companies. Earlier ESG data was often loosely reported in press releases, sustainability reports, and voluntary questionnaires, making it difficult for investors to track changes in data over time. With routine reporting, there was now a basic floor of transparency, and for most larger issuers, investors can find ESG information regularly published in a categorized, standard format.

KPMG's report on global trends in sustainability reporting highlights this shift as it reports that 96% of the world's largest 250 companies (G250) and 79% of N100 companies all publish sustainability reports.²³ ESG has clearly become a standard part of corporate operations today being as available as it is, it is essential as a part of investor research and cross-industry comparison.

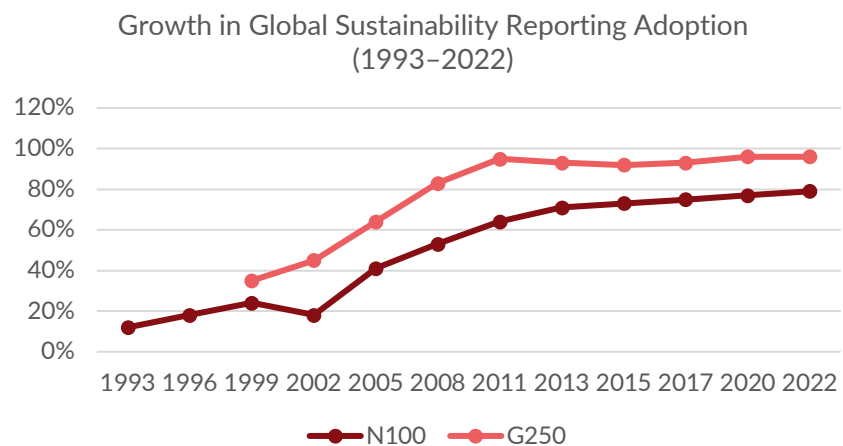


Figure 9: Global Sustainability Reporting Adoption Rates (1993–2022)

Reporting has also improved access to data through centralized disclosure systems. The Carbon Disclosure Project (CDP) is an example of how ESG reporting became deeply integrated into large independent data pipelines instead of just being an aspect of company reporting. CDP reports that over 23,100 companies made disclosures through its system in 2025, showing how ESG data plays a part in datasets used by supply chains. Centralized disclosure systems make publishing data much easier, while also increasing information access to all participating members, making large steps towards greater data transparency.

Reporting also created a common ESG vocabulary that made discussions much more consistent across companies, regulators, and investors. Early ESG conversations suffered from a lack of consistency as depending on what institution was being referenced, labels

²² PwC, *Asset and Wealth Management Revolution 2022*

²³ KPMG, “Key Global Trends in Sustainability Reporting”

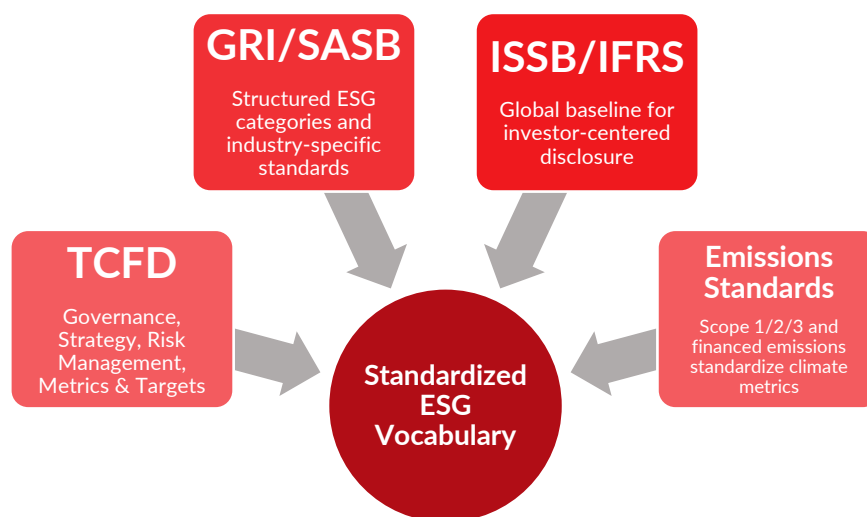


Figure 10: Creation of Standardized ESG Vocabulary

and metrics meant different things. Frameworks reduced this friction in sustainability dialogue by forming categories and language that was repeatable and showed up across sustainability reports and investor discussions. TCFD is a standout example of this clear establishment of vocabulary as it split climate-related disclosure into the four core elements of governance, strategy,

risk management, metrics and targets.²⁴ After being widely adopted, climate disclosures became easier to evaluate as companies were expected to view climate-related risks through the shared lens of their governance structures, risk processes relevant to their company, and strategic impacts. Scope 1/2/3 emissions reporting is another key set of vocabulary, as it creates accounting classifications for emissions disclosures.²⁵ By reducing differences in emission metrics with this three-tiered system, emissions across a variety of industries were discussed without ambiguity and became a centerpiece of reporting discussions.

ISSB/IFRS standards also reinforce common language regarding the financial markets as they frame sustainability disclosure to fit the needs of investors and to allow for comparability across nations. IFRS describes the ISSB standards as creating a common language and a global baseline for disclosure, which allows for a more unified interpretation across capital markets.²⁶ For financial institutions, vocabulary grew to include terms such as “financed emissions,” which were specific to financial reporting and described emissions in relation to lending and investments. PCAF gives guidance on standardizing financed emissions, which gives banks and asset managers a shared understanding of how financial services create exposure for climate issues.²⁷

²⁴ [TCFD Recommendations](#)

²⁵ [GHG Protocol, “FAQ”](#)

²⁶ [IFRS Foundation, “The Need for a Global Baseline for Capital Markets”](#)

²⁷ [PCAF, “The Global GHG Accounting and Reporting Standard for the Financial Industry”](#)

5.3 Structural Limits of disclosure based ESG

A core limitation of disclose-based ESG is that reporting, even at such a large scale, does not equate consistent rating throughout ESG ratings often diverge because ratings providers do not read disclosures and score them the same way. They make different choices regarding what scope they are taking, what indicators best represent that scope, and how much weight each factor should carry. This means that investors can rely on two credible ratings providers and still come to disparate conclusions about the same company's ESG performance. As the markets increasingly use ESG score for portfolio construction and screening, this divergence makes comparability difficult and reduces confidence in using a single score as an accurate measurement of ESG performance.

Berg, Kölbel, and Rigobon explain why this divergence has a structural basis and is not random.²⁸

They break the divergence into the three categories of scope divergence, measurement divergence, and weight divergence and in their analysis, they fo

56% of the divergence comes from measurement differences, and 6% of the divergences comes from weighting differences. Their research establishes that even if companies disclose more, ratings can still diverge because the largest driver for this divergence is measurement choice and not a lack of disclosure.

This divergence carries more weight in financial services as ratings in this industry are not simply information, but rather inputs for several products and services. Many ESG indices, portfolio screens, and specialized products use ratings to show their alignment with a certain ESG strategy.²⁹ By having differing methodologies, products can declare that they align with ESG objectives even if the scoring systems underlying their alignment yield differing conclusions about if they truly do align. As a result, policymakers and regulators focus on transparency in the ratings industry as they have such an impact on the allocation of capital and on fund labelling.

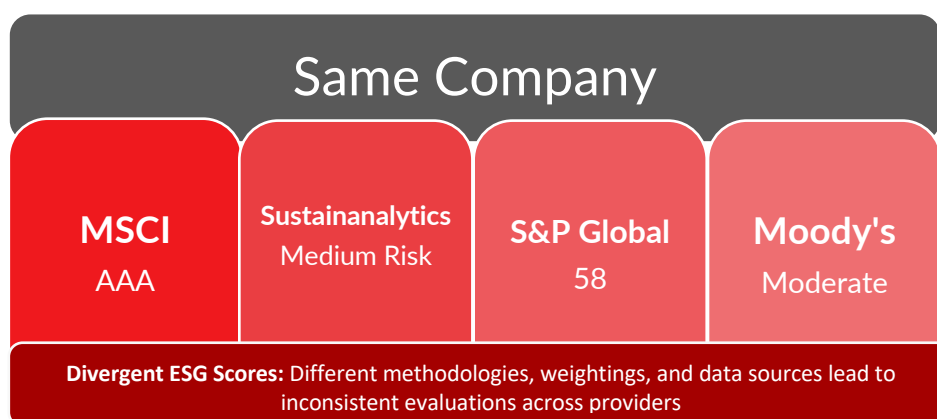


Figure 11: ESG Ratings Divergence Across Providers for the Same Company Executive Compensation Structures (2021–2024)

²⁸ Berg, Kölbel, and Rigobon — Divergence of ESG Ratings (2022)

²⁹ IOSCO — ESG Indices as Benchmarks Report (2025)

Another structural limit is that disclosure is different from integration. Reporting frameworks are made to increase the availability of data and increase transparency, especially for investors. However, they do not mandate changes in including ESG factors into elements of the company's operations, such as underwriting, valuation, portfolio construction, etc. Thus, organizations can produce thorough ESG disclosures while still failing to incorporate ESG factors into their core decisions. In financial services, ESG is often only considered when it directly impacts risk pricing, capital allocation, etc.

In 2025, the ISSB provided guidance that showed this limitation very clearly by stating that IFRS S2 does not require companies to have a plan to transition, though it might require companies to disclose information on the risks and opportunities of transitioning to ESG-friendly operations.³⁰ Disclosure standards are not weak by any means but have a function different from what is necessary to mandate the integration of ESG guidelines. Companies can comply with reporting requirements but have a lot of flexibility in terms of how they operationalize their reported information into their financial models and systems for decision making.

In the U.S., the SEC climate disclosure rules focus on improving the information companies disclose, which helps investors make more informed decisions. However, these rules do not dictate how financial institutions should price their portfolios and adjust their models. In March of 2025, the SEC voted to end its defense of climate disclosure rules, which highlights the large limitation of political pressure that reporting faces. In changing political and legal conditions, companies would rather opt to focus on adaptability with reporting and compliance instead of long-term modeling integration.

A final structural limit is incentive structures being tied to short-term financial performance. Even if ESG reporting improves, organizations usually focus on factors that are consistently measured and rewarded, which are financial KPIs and short-term outcomes like earnings, margins, and returns. As a result, ESG objectives struggle to compete for focus in performance-based incentive systems.

Harvard Law Forum summarizes the work of their Conference Board in indicating how ESG metrics are used in executive incentive plans.³¹ Even though they acknowledge that ESG has been formally considered in some performance systems, these measures are usually easier to integrate in short-term incentive plans and not long-term ones. The metrics used to analyze ESG are predominantly qualitative and as a result are easier to interpret and are not considered as robust as metrics such as financial KPIs. This limits how ESG impacts long-term incentive plans and leads to the dominance of financial metrics in decision-making. This contrast is also seen when looking at long-term incentives as in a report from WTW, only 10% of U.S. and Canadian companies use ESG metrics in long-term incentive plans and are long-term incentives are tied with performance over several years and value creation in the long-run, the lack of ESG's adoption in these plans shows that ESG is widely not recognized as a key factor in long-

³⁰ [IFRS Foundation — Guidance on Climate Transition Plan Disclosures \(2025\)](#)

³¹ [Harvard Law Forum, "ESG Performance Metrics in Executive Compensation Strategies"](#)

term strategy.³² Incentives also shift in response to external pressure, which makes ESG-linked pay less stable as a long-term incentive. The Conference Board reports that the share of S&P 500 companies reporting DEI metrics in executive pay decreased from 68% in 2024 to 35% in 2025.³³ Though DEI is just one aspect of ESG, this trend shows that ESG-linked compensation can be expanded or reduced depending on the overall political and legal environment. This volatility shows yet another limitation of disclosure-based ESG, which is that the presence of ESG metrics in pay and reporting does not guarantee they will be considered with the same regard for long-term decisions.

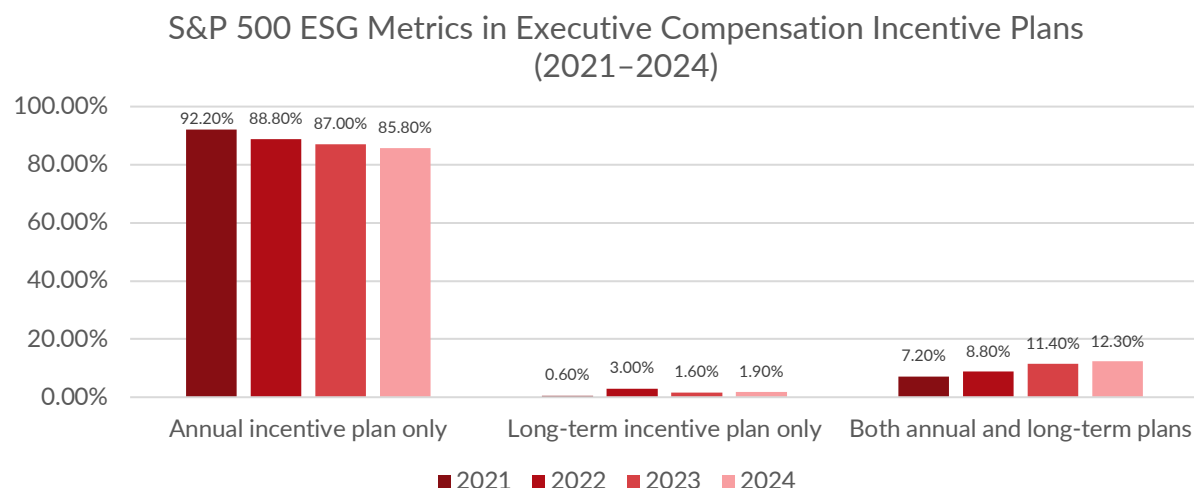


Figure 12: ESG Metrics in S&P 500 Executive Compensation Structures (2021–2024)

5.4 Why reporting alone is insufficient in financial services

In financial services, having strong ESG reporting does not translate into ESG being used in daily decision-making. Reporting is usually conducted by a central ESG or sustainability team of a company, while portfolio construction, capital allocation, and credit underwriting are controlled by the typical financial processes in the company. This separation between ESG teams and core decision-making creates a “silo problem,” where firms publish strong ESG reports but do not implement these practices. This disconnect is acknowledged by sustainability professionals as well. As one ESG expert at a leading financial analytics firm observed, “The ratings and the scores are generally meant for investors and other interested parties to use in some way, but in terms of really determining how we make decisions internally, that’s not the driver.” This reinforces that much of ESG reporting still acts more as external disclosure than internal financial guidance. As ESG teams do not control key decision-making, reporting can fail to translate into meaningful change. The ECB (European Central Bank) describes this

³² WTW, “ESG Metrics and Executive Pay: A Comparative Analysis of Payouts”

³³ The Conference Board, “Big US Companies Are Disclosing Less of Their Work in DEI”

problem in a 2025 press update, where they note that banks have made progress towards managing climate-related risks, but have often only applied their practices to a small set of exposures, areas, and categories of risk.³⁴ ESG work can thus be advanced in select areas of a company's operations, but remains separate from the entirety of a company's financials, which limits reporting's impact on managing risks.

Additionally, the importance of supervisory guidance shows that reporting is just a starting point of implementing ESG. The European Banking Authority (EBA) published their final guidelines on environmental scenario analysis and in their report, they outlined how financial institutions need to conduct environmental scenario analyses and strengthen their abilities beyond just disclosure.³⁵ This guidance shines light on the structural issues that reporting and the current functions of ESG teams alone are not sufficient and that banks need to move toward internal modeling and stress testing and coordination between the functions of different departments.

The industry's sole reliance on ESG reporting has driven stakeholder skepticism of its true effect on internal processes. As this skepticism rises, reporting loses its ability to build credibility with stakeholders and instead there's a greater need for clear evidence, consistency, and transparency regarding what is being communicated in disclosures and what is going on in the company. In November 2024, the SEC charged Invesco Advisors \$17.5 million for making misleading statements about how much of their AUM were integrated with ESG and a civil penalty.³⁶ In April 2025, DWS, an asset manager owned by Deutsche Bank, was fined €25 million for greenwashing and publishing misleading statements about ESG standings.³⁷ Overall, cases like these show investors and stakeholders that ESG disclosures need strong evidence alongside regulatory backing and true implementation.

Stakeholder skepticism is also shown in how companies communicate regarding ESG. The Conference Board reported that there was a decline in S&P 100 companies using "ESG" in their annual sustainability reports from 40% in 2023 to 25% in 2024 and to 6% in 2025.³⁸ Sustainability has not disappeared by any means, but ESG branding has become riskier for companies to use. As scrutiny from the public only increases, usage of ESG terminology will transform into specifics, which complicates reporting to the public and arguably creates more confusion about whether ESG reporting reflects change in a company's operations. Overall, these trends show that while the growth in reporting improves transparency in the form of data availability, without companies showing any implementation and evidence for the claims that they make, stakeholder skepticism regarding ESG having a material impact will only rise.

³⁴ ECB, "Banks Have Made Good Progress in Managing Climate and Nature Risks"

³⁵ EBA, "Final Guidelines on Environmental Scenario Analysis"

³⁶ SEC, "SEC Charges Invesco Advisers for Misleading ESG Statements"

³⁷ Reuters, "DWS Fined €25 Million in Greenwashing Case"

³⁸ The Conference Board, "Decline in 'ESG' Usage in Report Titles"

6. ESG Performance Gap

TLDR: The ESG performance gap, the misalignment between a corporation's sustainability pledges and its true operations, is often caused by prioritizing reputational optics over proper financial. When companies fail to bridge this gap, they face many risks such as legal penalties and economic

6.1a What is the ESG Performance Gap?

The ESG performance gap represents a profound disconnect between a corporation's sustainability, social justice, and governance commitments and their verified results. It is constituted by a bifurcated definition: one, the disparity between that which is promised and the actual actions being undertaken to achieve those goals, and two, the disparity between public ESG commitments and whether they truly influence business decisions.

Under the first definition, operational failures take place in the form of discrepancies between what a company reports in terms of ESG goals versus what is happening. This happens partly due to a capital gap³⁹, where corporations are not receiving enough funding to properly implement their ESG commitments. This means that the commitment firms are publicly proclaiming far exceeds the financial investment that they are receiving to achieve these goals, leading to a fundamental inability to align promises made and actions taken.



Of senior management that claimed a high focus on sustainability, only **half** received enough funding or capital to address ESG goals.

Figure 13: Capital Discrepancies

The second definition emphasizes the failure of ESG implementation *across* a business' functions. Senior leadership broadly acknowledges that ESG is vital to enterprises, but its principles are not integrated across C-suite functions, meaning that it is not treated as a major concern across strategic leads. This perspective views sustainability as a gimmick for reputational benefit rather than operational excellence, coined as "decoupling."⁴⁰ The capital gap plays a role in this aspect as well, except it highlights a lack of funding towards specific departments rather than the company to implement ESG commitments.

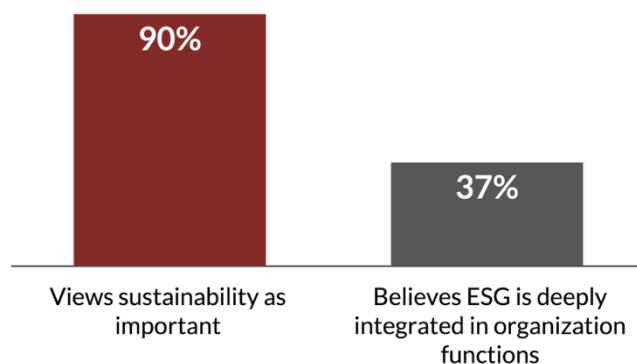


Figure 14: Perceptions of financial industry leaders (%)

Overall, the financialization of ESG results in a positive feedback loop; when ESG is viewed as an investment factor, it places major emphasis on favorable reporting, which means that the mere reporting itself overtakes actual operational performance. More clearly, when there is external pressure on developing a "good" ESG report—likely due to wanting a good reputation—inflating the company's

³⁹ Only 37% of Leaders View Sustainability Deeply Embedded Within Their Organization, Report Finds

⁴⁰ ESG Performance Gap

actions takes precedence over achieving the ESG goals, ultimately widening the ESG performance gap.

6.1b Case Study: JPMorgan's Net-Zero Carbon Commitments & Fossil Fuel Financing

In 2021, JPMorgan joined the Net Zero Banking Alliance, committing to aligning their investment portfolio and lending services with carbon neutrality by 2050.⁴¹ As the largest financier of fossil fuels worldwide, this was a significant step towards achieving net-zero carbon emissions. However, JPMorgan increased their financing of fossil fuels by \$15 billion from 2023 to 2024⁴². Notably, this statistic and the ratio⁴³ presented in Figure 15 apply to the period in which JPMorgan was taking part in the NZBA, highlighting their lack of progress towards carbon neutrality.

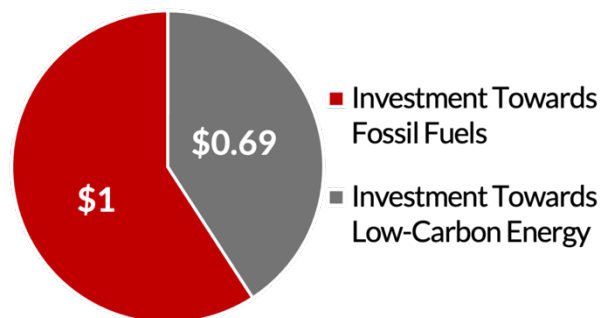


Figure 15: JPMorgan's Energy Supply Banking Ratio (2024)

Although JPMorgan left the NZBA in January 2025, they released an official declaration stating that they are still publicly committed to furthering low-carbon technologies. Their departure was allegedly due to pressure from Republican congress members over potential violations of antitrust laws, coupled with the transition to a Republican administration during the time of their withdrawal. However, many shareholders still want JPMorgan and other banking institutions to place more emphasis on ESG. Over 300 institutional investors with over \$4 trillion in combined assets sent a letter to multiple top banks including JPMorgan calling out their lack of support for ESG propositions and how their proxy voting record fails to match these investors' perceptions.⁴⁴ The variety of backlash that JPMorgan received highlights that beyond their lack of support for specific ESG endeavors, the mere gap between what they promised and the actions they took to support their promises during a time when ESG perceptions were polarized is what drew bipartisan backlash, stressing the importance of aligning ESG commitments and actions.

6.2 Why does the gap occur?

The ESG performance gap is not a random occurrence but rather has several interrelated causes. In financial institutions where the gap is prevalent, ESG often operates parallel to

⁴¹ [With JPMorgan gone, all major US banks have now left global climate alliance](#)

⁴² [Fossil Fuel Finance Report 2025](#)

⁴³ [Bank Financing Shows Little Progress on Climate Goals: Five Things to Know](#)

⁴⁴ [Investors Press Large Asset Managers on their Proxy Voting Records on ESG Proposals](#)

core underwriting and portfolio construction processes.⁴⁵ This is because there is a defensive and offensive view of ESG. When a company employs the defensive view, they see ESG as a preventative measure for reputational risk; when they employ an offensive view, they view ESG as a money-making opportunity, so their focus would be on new products or services that overtly follow ESG standards to perform better in the market.

Furthermore, when financial institutions focus on finding reportable metrics rather than calculating financially material risk, they employ a "framework-first" perspective.⁴⁶ This means that companies are reporting ESG performance through the lens of meeting external reporting requirements rather than analyzing it through its ties to business fundamentals. This is deeply interconnected with parallel operation because when ESG runs parallel to credit underwriting and other financial services, climate risk cannot even be considered in financial models, so companies tend to only place focus on the reputational impacts of employing ESG guidelines. Because of this emphasis on reputation, the exaggeration of ESG performance to appear more sustainable through greenwashing tends to occur.⁴⁷

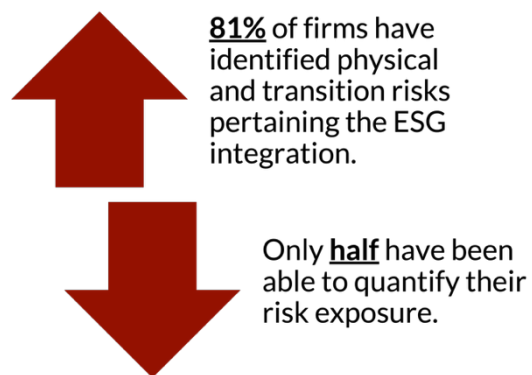


Figure 16: Disparity in Identifying and Quantifying Risks

Sparse data in multiple aspects of ESG reporting also adds to the widening of the performance gap. Primarily, a lack of data on potential consumer or stakeholder response makes it difficult for firms to gauge risk. Recalling that risk prevention, albeit about reputation, is fundamental to the defensive view that many American firms tend to employ, this suggests that firms are also concerned generally with financial risks; thus, they are largely struggling in repricing credit risk and strengthening capital buffers due to the lack of quantifiable data. Furthermore, when the aforementioned framework-first lens is utilized,

disclosure regimes incentivize firms to prioritize reportable metrics over incorporating ESG into financial risk assessment. These frameworks may ignore actual material indicators such as energy costs and employee retention in reporting, leading to a translation gap where solid ESG metrics are not properly matched to financial variables such as profitability and risk exposure that can be modeled by investors.

There is also a lack of business-line accountability measures set in place to ensure ESG integration. While many financial institutions have identified ESG goals, 65% of financial service firms surveyed by Bain have not designated primary accountability for identifying and addressing climate risk within their firms. This means that while they have set out the goal of net zero carbon emissions, reducing fossil fuel emissions, or other

⁴⁵ [How Financial Services Firms Are Wrestling with ESG Challenges and Opportunities](#)

⁴⁶ [The Mispricing of ESG: A Capital Markets POV on Sustainability, Value Creation, and Competitive Edge](#)

⁴⁷ [ESG Metrics in Sustainable Finance: Measuring Impact and Performance](#)

sustainability pledges, this responsibility has majorly not been provided to any one sector of a firm. Moreover, even in the 40% of respondent firms that have established central sustainability teams, they tend not to embed ESG targets and initiatives within the other business lines. This lack of accountability is a contributing factor to the previously mentioned parallel operation of ESG and business functions; by isolating ESG responsibility to a single, centralized department rather than incorporating it in each department of an institution, it prevents ESG from being tied to individual or team performance, making it difficult for ESG targets and goals to gain any traction due to a lack of personal liability.

6.3 How is ESG performance evaluated in practice?

ESG performance is evaluated through a combination of quantitative and qualitative measures. One method is finance emissions accounting, which tracks the indirect greenhouse gas emissions from financial services, lending, and investments. This operates through frameworks, the two most notable being by the ISSB and PCAF.⁴⁸

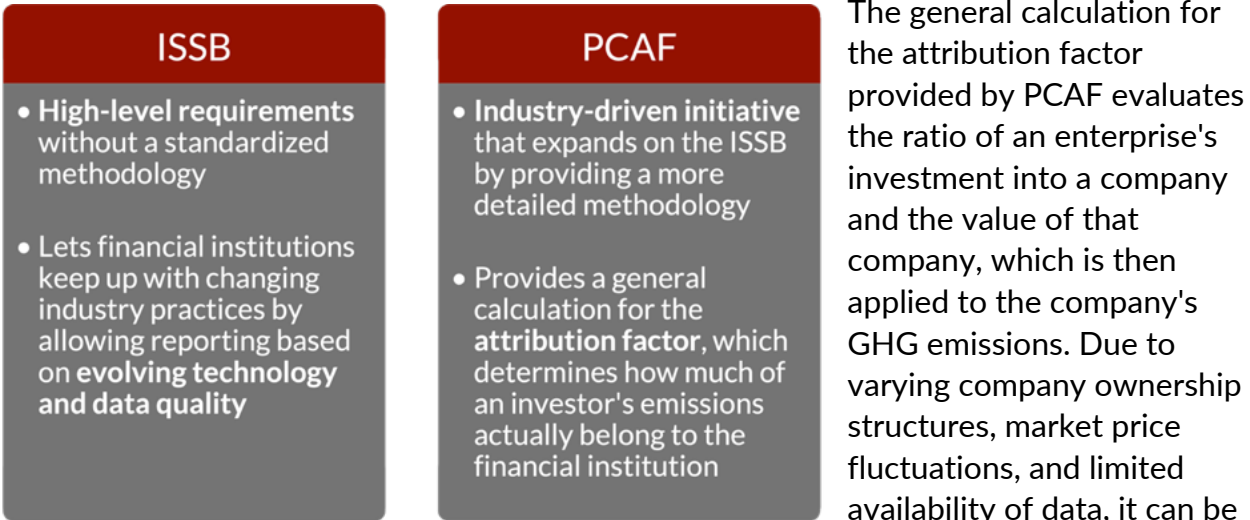


Figure 17: Financed emissions accounting frameworks

calculation in practice; for example, if the market price of the investee company were to go down, the investor's share of emissions appears to go up even when more money is not being lent out, overstating the attribution factor. However, a collaboration between BlackRock and PCAF led to the development of adjusted carbon footprint metrics that limit the influence of market fluctuations. Similarly, the issue of limited data is mitigated by the fact that PCAF highlights the quality of the data used so that investors are more informed; precise and directly reported data is perceived as higher quality than economic activity monitored by third parties.

⁴⁸ [Financed Emissions](#)

Another technique, sector exposure analysis, enables more effective risk management by allowing financial institutions to identify exactly where carbon totals are adding up and where capital is most vulnerable to environmental and economic issues.⁴⁹ Measuring portfolio carbon intensity by tracking carbon-intensive assets and sector coverage (i.e., how investments are spread across industries) allows financial institutions to identify what investments may face valuation drops and legal challenges. In the event of a lack of GHG emissions data from investor companies, portfolio compositions can act as a proxy. The compositions allow investors to estimate potential carbon intensity without company-level reports, which helps fill blind spots in sectors where reporting is not as developed such as certain asset classes such as private equity and sovereign bonds.

Unlike previous measures of emissions, carbon intensity is measured relative to financial output rather than being absolute.

 Tons of
CO₂-equivalent

Assets in
million USD



Figure 18: Carbon intensity ratio

Sector exposure analysis is not only helpful in identifying the assets most at risk, but also green assets, which are assets that provide sustainability benefits. Setting operational targets to maintain a certain percentage of “green loans” in the portfolio shifts focus away from reporting and towards developing transition plans, which plays a significant role in closing the ESG performance gap. However, a major challenge associated with sector exposure analysis is that it tends to use aggregated data rather than granular data, meaning that individual activities that are deterring a company from remaining on the transition pathway are overlooked, increasing the difficulty of comparing sector exposures across investee companies.

Companies can also utilize climate scenario modeling and stress testing, which employs forward-looking tools to evaluate how climate risks can impact a financial institution’s stability and ESG performance.⁵⁰ Stress testing gained prominence after the 2008 financial crisis and has since been used to assess how well banks can combat disadvantageous hypothetical scenarios pertaining to economic risks so regulators can identify whether capital needs to be bolstered. As it pertains to ESG, it is now tailored to environmental risks through climate modeling to assess exposure to stranded assets, which are assets that have lost value due to the transition to a low carbon economic model.

It is important to note that climate scenario modeling is different from traditional stress testing in that banks are forced to look beyond the usual business cycle, spanning roughly three to five years, thirty years into the future to consider both immediate and

⁴⁹ [Mapping climate-related metrics in the financial sector](#)

⁵⁰ [Financed emissions are missing from many firms’ net zero plans](#)

gradual physical and transition risks; scenario models are then accordingly bifurcated into transition risk scenarios and physical risk scenarios.

Only over a quarter of financial institutions conduct climate risk assessments on their downstream financing activities.

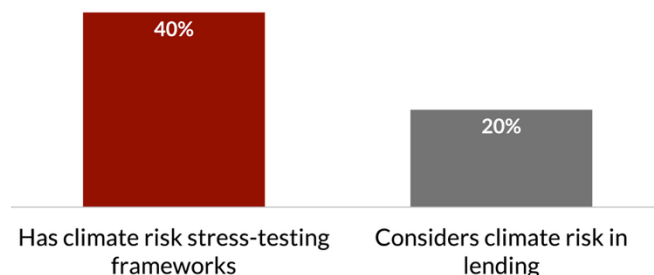


Figure 19: Proactive climate cognizance by lenders (%)

Insurers, on the other hand, had the highest rate of downstream assessment. This is because they are directly faced with the impact of physical risks (e.g., financial costs of physical damage from extreme weather), emphasizing that because financial institutions do not face the direct effects of climate events, they

tend to be more lethargic in their implementation of stress testing and climate scenario models. Without the appropriate scenario models, banks only have limited strategies in place to deal with climate risks in long-term scenarios, widening the ESG performance gap.

6.4 What risks emerge if the gap persists?

The ESG performance gap can result in both external and internal risks. External risks comprise regulatory and enforcement exposure, where greenwashing can be legally punishable. In 2024, the Securities and Exchange Commission charged a major investment management firm for overstating the proportion of their assets that integrated ESG regulations because the company had included passive funds that did not integrate ESG at all, leading to a \$17.5 million civil penalty.⁵¹ Additionally, from 2021 to 2024, the SEC enforced the Climate and ESG Task Force, which was a specialized department that focused on ESG-related misleading claims. However, since its dissolution, the SEC is still able to prosecute false claims as a general material misstatement, which means that the performance gap still poses a major regulatory risk.⁵² Internally, if a board of directors ignores ESG adherence, the company may face litigation exposure beyond regular regulatory penalties; shareholders can file a shareholder derivative suit that argues that the board is not acting in proper fiduciary capacity by ignoring the potential impacts environmental issues can have on the company's finances.

The performance gap also leads to mispricing of climate-related financial risk.⁵³ ESG scores are created by private companies that use different methodologies and sources of data, making it possible for them to overstate their commitment to any sector of ESG.

⁵¹ [What Are ESG Risks? Definition and Examples](#)

⁵² [SEC Disbands its Climate and ESG Enforcement Task Force](#)

⁵³ [Climate-related Financial Stability Risks for the United States: Methods and Applications](#)

There is “at best a weak relationship” between a high ESG score and low emissions growth, meaning that many companies are not incorporating ESG factors into actual financial performance. Disparate scales can cause mispriced stocks, which can cause buying or selling that impacts financial stability and asset pricing.

Furthermore, performing flow-of-risk analysis emphasizes how climate risk is absorbed by institutional layers. To be financially stable, all of these layers should be insulated for climate shocks, but if lower levels do not properly assess the extent of climate risk, it affects the higher levels at a greater magnitude; with financial institutions being higher on the hierarchy, they are especially vulnerable.

Mispricing ultimately causes a feedback loop where financial institution

vulnerabilities amplify climate risks, and the risks that are not considered in financial activities continue to cause funding disruptions and vulnerabilities.

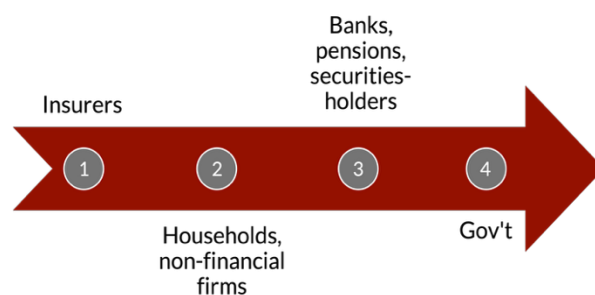


Figure 20: Flow-of-risk analysis

Mispricing climate risk contributes deeply to the prudential and financial stability concerns if climate risk is not embedded. Climate risk can be shifted to counterparties due to asymmetrical information, which is when one institutional layer has more granular insight on climate risks (e.g., banks can push risk onto mortgage purchasers). This can create short-term protection for financial institutions but still causes long-term issues as the market inevitably recognizes the true value of assets, causing broader instability. Financial stability is further threatened by credit risk and asset devaluation, as stress testing frameworks show that major banks may face severe capital shortfalls by lending to fossil fuel firms; sudden changes in asset valuations can then result in asset fire sales that cause price collapses across the financial market.

Collateral erosion can occur when physical risks cause damage to physical assets; when the risks are not priced into loans, this can cause loan defaults and amplified credit risks for banks. Additionally, chronic physical risks such as rising sea levels are associated with higher non-performing loans, increasing credit risk greatly over time. Liquidity shortages through funding instability or bank runs can thus take place due to the amount of liquid funds needed for reconstruction following the impact of physical risks.

The performance gap also has an immense impact on supply chains, which also causes adverse effects on cash flows, value chains, and profitability.⁵⁴ By destabilizing supply chains, an enterprise reduces its business credit capability and market competitiveness. ESG brings about a “psychological contract” (i.e., unwritten agreements) between the enterprise and all shareholders, and when this trust is breached by the performance gap, certain supply chain relations erode; since ESG alignment greatly helps with public

⁵⁴ [Climate risks and financial stability: Evidence on the effectiveness of climate-related financial policies](#)

image, distributors will switch to rival enterprises to avoid reputational harm, and customers lose brand loyalty and reduce demand. Demand forecasts will also be volatile as a result.

Resource flows are subsequently disrupted, and since organizations are not completely self-sufficient and require the external resources to survive according to the Resource Dependence Theory, expanding the ESG gap increases perceived counterparty risk. A lack of ESG compliance can also lead to client capital flight; since ESG compliance is a sign of maintaining alignment with evolving industry standards, the performance gap indicates to lenders that a company is high-risk and not sustainable in the long term. This leads to the issues of regulatory sanctions, reputational harm, and operational interruptions, the last further fueled by poor resource flows, causing a decrease in loan amounts, increase in interest rates, and stringent collateral requirements, overall making cost-effective financing highly difficult. This largely emphasizes how interconnected all of the risks associated with the ESG performance gap are and how they synergistically amplify one another, highlighting the need for operationalization across industries, especially in financial services.

7. Operationalizing ESG

TLDR: True ESG integration changes sustainability from a reporting exercise into a core driver of financial decisions through embedded risk models, clear governance, aligned incentives, and strict data controls.

7.1 What does true ESG integration look like in financial services?

Real ESG integration occurs when environmental and transition risks are integrated in the models that banks regularly use to assess risk and price loans. Climate risks may

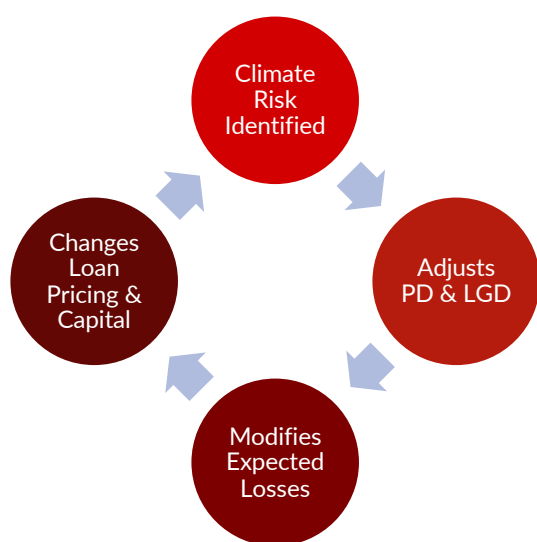


Figure 21: How ESG Affects Credit Underwriting

affect the probability of default (PD) - the likelihood that a borrower will default, and the loss given default (LGD) - the proportion of an exposure that a bank must bear in the event of default, in credit underwriting. These factors, when included in the valuation models/climate scenario stress tests, modify expected losses and therefore loan pricing and capital decisions.

One of the issues, however, is that most of the available ESG frameworks are based on qualitative measures like surveys, disclosure, or narrative reporting. With these approaches, the context is

very useful, yet it is frequently subjective and hard to tie to financial models. A stronger quantitative framework tries to transform environmental exposure into quantifiable risk inputs that can be directly linked to underwriting and valuation systems. As an illustration, geospatial climate data can be asked or estimated at the asset level using floods, probability zones of wildfires, heat-stress projections to determine the possibility of probable damage or operational disruption. These values can be converted into alterations in estimated cash flows, collateral values, or insurance expenses which eventually flow to PD and LGD calculations. It is also through quantifying climate exposures into financial risk measures that banks can incorporate ESG risks into the same analytical platform as used to analyze standard credit⁵⁵ considering how carbon pricing or policy changes can modify the risk-adjusted returns and asset allocation plans.

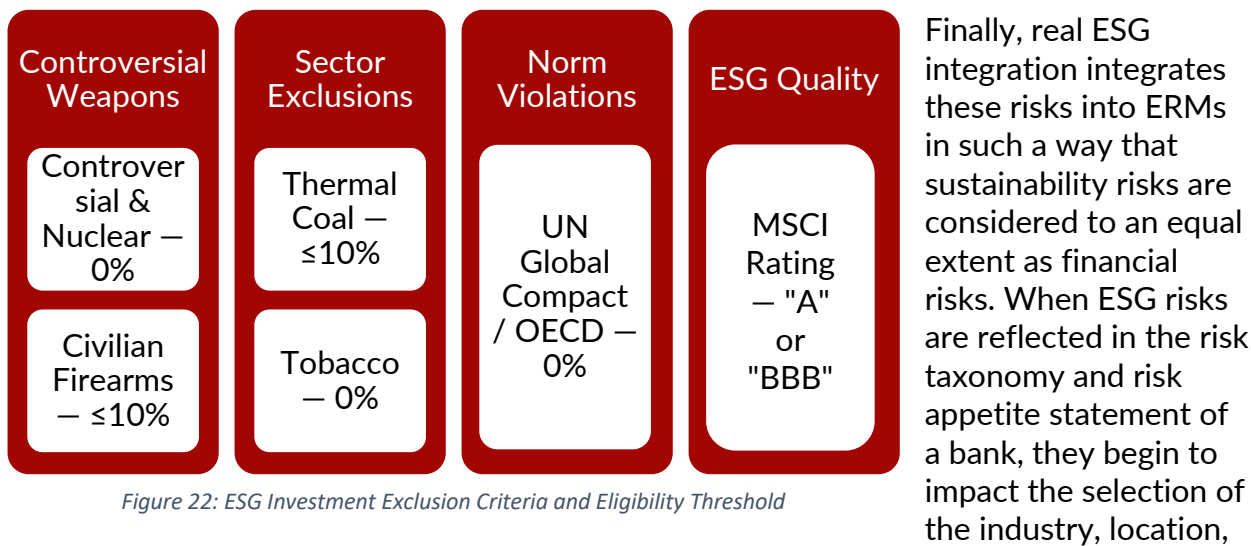


Figure 22: ESG Investment Exclusion Criteria and Eligibility Threshold

any product that the bank is comfortable to fund. Any ESG indicator such as the number of emissions that were financed, exposure to climate-prone industries, key scandals can appear on internal risk dashboards next to usual metrics such as non-performing loans/capital ratios. Once sustainability risks are managed within the same systems as credit, market, and operational risks, ESG becomes a one-time task to report, rather than a 24-7 component of financial risk management⁵⁶.

7.2 Governance and accountability structures

The ESG policies begin to make a difference in the transactions-level decisions, when accountability lines are well defined throughout the organization. Institutional frameworks of governance and accountability are fundamentally the foundation of transforming ESG promises into reality as part of actual business operations.

⁵⁵ [Climate-Related Financial Risks](#)
⁵⁶ [Deutsche Bank ESG Investments Framework](#)

Operational governance should assign clear ESG responsibilities across business lines

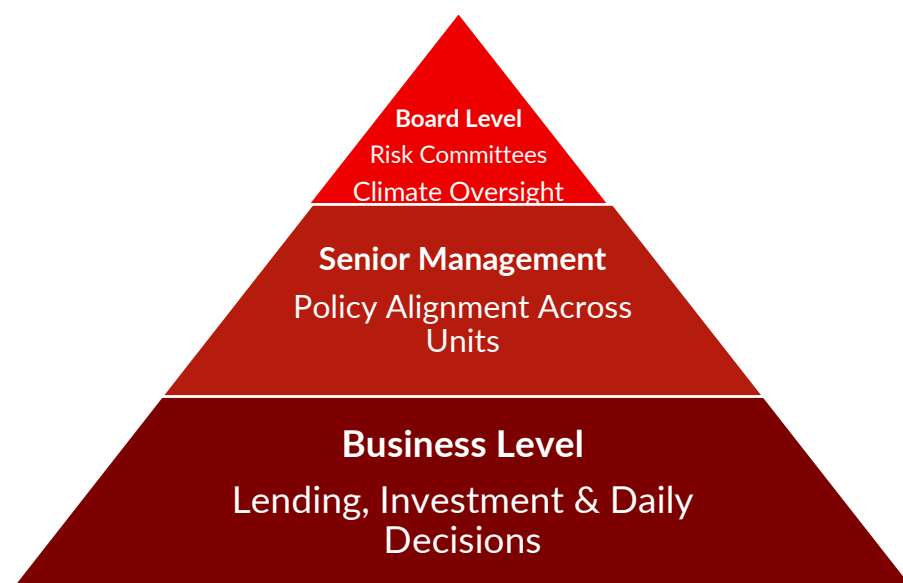


Figure 23: ESG Governance Structure

and risk functions, ensuring ESG is embedded beyond the sustainability department and integrated into lending, investment, and risk decisions. Practically, decision rights for major bold policies such as sector constraints, climate scenario assumptions and long-range emissions targets need to be approved at the board level, whereas business

unit decisions within those boundaries occur at day-to-day operational level. This ensures that ESG issues are reflected uniformly across portfolios, so it can affirm the managers work.

Another major factor is deploying ESG responsibilities to the three lines of defense in managing financial risks. The initial step, which is business and investment teams, incorporates ESG factors into underwriting, portfolio management, and client selection. The second line, which is risk management and compliance, is the development of approaches, reporting, and monitoring mechanisms that track ESG

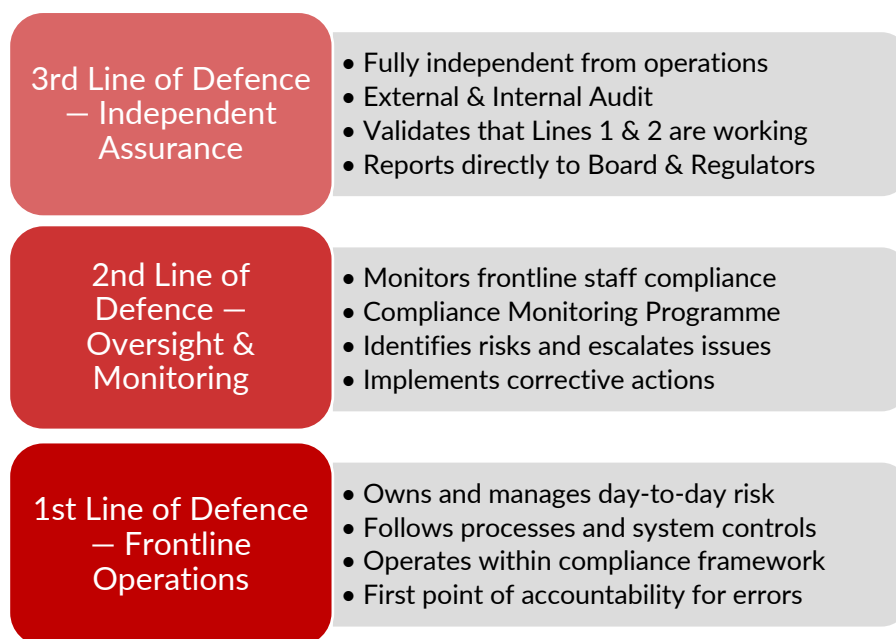


Figure 24: 3 Lines of Defense Framework

exposures and policy compliance. The third line, internal audit, is an independent examination of ESG processes, data quality tests, model assumptions, and policy compliance tests to ensure that ESG controls are efficient. The distribution of responsibilities among these layers can enable banks to deal with ESG risks in a similar rigorous manner as they deal with credit, market, and operational risks.⁵⁷

7.3 Data, models, and control systems

Data, models, and control systems are great in terms of transforming ESG into a system that influences financial decisions. Central to this shift is the transition of static reporting to decision-support metrics. Rather than simply publishing ESG scores or carbon footprints on an annual basis, many finance departments are developing prospective measures such as financed-emissions pathways, portfolio temperature scores, sector transition-risk indicators, and physical-risk exposure measures. (with the aim of feeding them into pricing models, exposure limits and portfolio allocation tools). ESG metrics become operationally meaningful only when they influence approvals, pricing, or risk limits.

Internal validation and credibility of underlying data is crucial operationalization. In the present day, banks and other organizations rely on third-party ESG rating systems, but built-in risk frameworks are applying them the same way as they do to conventional financial variables. We compare various ESG data suppliers, assess score stability over time and determine whether ESG indicators are linked to financial performance, such as credit outcomes. Under this arrangement, ESG information is subjected to customary model risk management procedures like data quality validations, documentation rules, external validation, and regular recalibration. Where external data is incomplete, firms may develop internal scoring models or apply vendor overrides. Control mechanisms ensure that ESG labeled investment products adhere to the sustainability standards they purport to. Pre-and post-trade monitoring systems screen portfolios against ESG limits and sustainability targets outlined in mandates and disclosures.

Finally, the success of ESG governance lies in the fact that such controls are real. The circumstances of occurrence of breaches that lead to portfolio adjustments, disclosures, escalation to governance committees, any other corrective measures make sustainability commitments enforceable aspects of investment management. Without enforcement mechanisms, though, ESG labels will just become relatively reputational, like merely a signal to investors that you are attempting to be responsible, but not a systematic process of aligning sustainability assertions with financial choices.

7.4 Incentive Alignment

An important part of implementing ESG into a company's operations is aligning incentives with corporate leadership, especially through executive compensation

⁵⁷ [Understanding the 3 Lines of Defense](#)

structures. More than ever, companies are tying executive pay to measurable ESG outcomes in efforts to motivate company leadership to translate sustainability into tangible outcomes. Research conducted to examine CEO compensation structures displayed that the introduction of ESG metrics into executive contracts changed management incentives. A study found that when ESG metrics are implemented into compensation contracts, there's a reduction in the sensitivity of pay to financial metrics, with a 20% decrease in the dollar delta for traditional financial metrics.⁵⁸ Consequently, the opposite holds when ESG metrics are removed from the contract. This shows that redesigned compensation contracts can redirect attention from managers and executives to the company's sustainability-related goals. The findings essentially imply that ESG incentives act as a trade-off. While focus is successfully shifted towards ESG, it is at the expense of the focus that could be put on financial performance. However, companies need to realize that focusing on ESG criteria actually helps reduce long-term risks, increase operation efficiency, enhance reputation, and attract more capital and investors.

The effectiveness of compensation tied to ESG highly depends on how specific and measurable environmental targets are. If firms utilize vague sustainability objectives, like general commitments of environmental impact, then executive incentives become weak, and the company strays away from producing tangible results. However, the opposite holds true when companies work with measurable targets. Specific measures such as carbon-reduction thresholds or emissions intensity goals, strengthen the relation between compensation and ESG performance. Research has shown that the tradeoff between compensation incentives and sustainability success disappears when ESG targets are quantifiable and able to be monitored. ESG metrics might not be as precise as traditional accounting indicators that firms use, but reducing the dominance of sole profit maximization or financial performance metrics encourages company executives to allocate more time and efforts towards ESG.

Concerns regarding if ESG-related compensation incentives actually drive any form of change are still at high. 63% of S&P 500 Firms (315 firms) include an ESG component in their executives' compensation and that a large majority of these incentives are only part of the annual incentive plan (AIA) rather than a part of the long-term incentive plan (LTIP).⁵⁹ This resonates with the urgency that the passive views on ESG have to change and become a long-term sustainability goal.

Consequences for greenwashing and misalignment between stated ESG commitments and actual corporate actions can result in major consequences for firms. Companies often announce aspiring sustainability goals, like commitments toward net-zero emissions, though proceed with capital allocation practices that contradict those very commitments. Weak ESG performance metrics, have a higher success rate as executives are rarely altering their operational strategies, lending decisions, or investment

⁵⁸ [Promarket](#)

⁵⁹ [Stanford Law: ESG Overperformance? Assessing the Use of ESG Targets in Executive Compensation Plans](#)

portfolios. It is this very disconnect that increases reputational risk, regulatory scrutiny, and even possible litigation from shareholders. Allegations on a company regarding environmental damage, labor issues, or other social issues can also have financial consequences on these companies by affecting stock prices, overall consumer trust and loyalty, investor interest, and even recruiting efforts. An example of a consequence is the European Union’s “Fund Name” regulations that criticized asset managers whose fund names didn't correspond to their capital allocation holdings. 61% of these funds were discovered to be misaligned and were required to remove all ESG components from their names rather than changing their investments. This type of forced rebranding had tremendous consequences for these firms, because funds that lost their "ESG" identity experienced significant capital outflows.⁶⁰

7.5 Maturity Progression

Corporations exist at different levels of ESG maturity. Although sustainability becomes more central to business strategies, companies vary in how far into ESG integration they have ventured. PwC identifies four different levels of ESG maturity. When companies sit at the most advanced Trailblazers stage, they can achieve major financial benefits, as high-integrity assets command higher premiums. Trailblazers are seen to be less risky, more future-proof, and more trustworthy, which brings in more investors who are willing to pay higher prices for their stocks and assets and even accept lower returns since risk is lower.



Figure 25: PwC’s Four Categories of ESG Maturity

At the same time, physical climate risks play an important role in corporate investment decision making and asset valuation. Extreme weather conditions, supply chain breakdowns due to these weather conditions, and regulations tied to climate change affect capital and insurance expenditures, financial forecasts, and operational performance. This is why regulations and investors are now pushing companies to incorporate climate change risk analysis into their long-term scenario planning, capital allocation strategies, and underwriting decisions. But despite having increased access to climate data, now more than ever, a majority of companies continue to disregard these changes and perceive climate analysis as an additional ESG

⁶⁰ [Impact of ESMA Guidelines](#)

reporting effort that they'd have to go through rather than seeing it as a key aspect of the very fundamentals that are critical to financial performance.

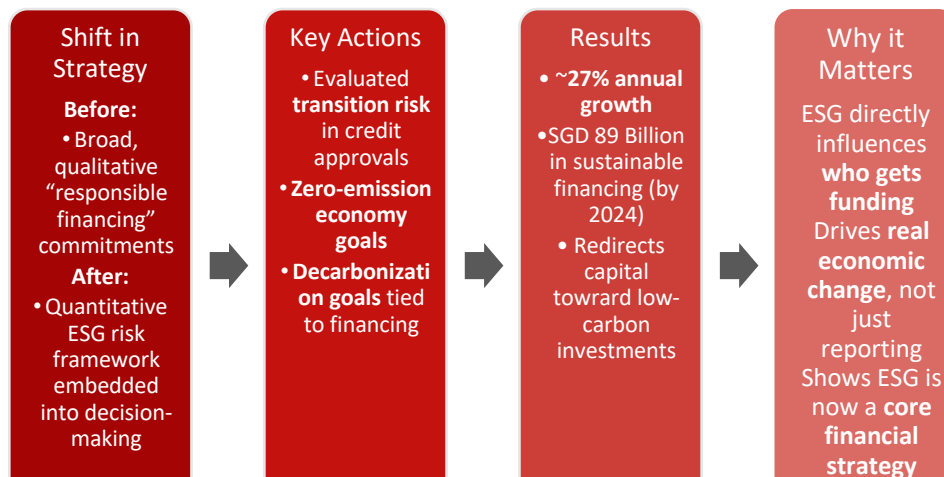


Figure 26: DBS's ESG Integration Transition

A very relevant example of how strategic ESG integration can be beneficial can be seen in how the Development Bank of Singapore (DBS) approached and adopted the idea. The bank recently shifted towards a more quantitative ESG risk framework.

DBS evaluates

transition risk, which is the risk that the business model of a company may no longer be viable as the global economy moves toward zero-emission economies, as part of the credit approval process of all new and existing corporate clients. The bank also has set decarbonization goals in nine high emitting industries, such as steel, aviation and shipping, that are set to cover most of its financed emissions.⁶¹ Equal to about 27% annual growth, DBS has increased its sustainable financing commitments to SGD 89 billion by December 2024.⁶² It stands to prove that the process of ESG integration can cause real changes in the way capital is distributed, moving billions of dollars in investments in low-carbon areas and demonstrating how a sustainability-focused approach is becoming one of the primary influences on financial strategy on a global scale.

⁶¹ [DBS Advances its Sustainability Commitments Despite American Retreat](#)

⁶² [DBS Bank Ltd 2024 Sustainability Report](#)

8. Conclusion

We stand at the tipping point for ESG in financial services. What started out as a voluntary disclosure has become a framework that has impacts on capital allocation, credit risk, compliance and financial resilience. However, the findings in this report demonstrate that there is a significant disconnect between ESG goals and ESG action.

Closing this ESG performance gap requires financial institutions to revise their governance, incentives and information systems. Governance must push ESG up and down the firm, from centralized sustainability offices to the front lines, with the board overseeing material climate commitments and business units delivering on them. Linking executive remuneration to measurable sustainability targets rather than simply just qualitative commitments is critical to making ESG relevant to key business decisions. Similarly, the shift from annual disclosure to real-time metrics that can be incorporated into credit ratings, risk appetite statements and reinsurance portfolios is vital for change.

The solution is to establish sectoral decarbonization targets, allocating funding to low-carbon investments, and incorporating ESG into credit. In the long run, companies that embrace ESG as a strategic opportunity rather than a regulatory requirement will be better positioned for sustainability, competitiveness, and investor trust as regulatory scrutiny increases at the state and international levels and investors pay more attention to ESG-related risks and opportunities.

The evolution of ESG within the financial services sector has come to show a larger conflict between proclaimed transparency and actual tangible change. While the reporting era produced undeniable progress through standardized frameworks, customary vocabulary, and vastly improved data availability, in the end it revealed its own shortcomings. Disclosure on its own cannot close the ESG performance gap. When sustainability teams operate in isolated, when ESG metrics weakly compete against short-term financial KPIs, and when ratings deviate so vastly that an identical firm can earn conflicting scores, the very infrastructure of reporting starts to work against the same credibility it was designed to set in place. The result of this is an environment where companies can remain compliant without constituting a difference in their operations.

The ESG performance gap can only be bridged if there's a fundamental shift in how financial institutions conceptualize ESG. It is not simply a reporting obligation, ESG must be seen as a risk management imperative ingrained across credit underwriting, portfolio construction, capital allocation, and executive accountability. Institutions like DBS illustrate that this shift is not only possible but in fact financially advantageous, with verifiable outcomes in sustainable financing commitments and redirected capital flows. The path forward necessitates clear governance structures, quantitative risk integration, and incentive systems that reward long-term sustainability outcomes rather than disclosure quality.

9. About the Authors



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